



ECON 407: Economics of Strategy

Spring 2026

41218 Tuesday 11:00 am–12:15 pm

67374 Thursday 11:00 am–12:15 pm

McClelland 134

WELCOME TO Strategy!!

Description of Course and Objectives

The microeconomics of strategy; the economics of imperfect information and uncertainty, externalities and public goods, and imperfect competition. You will learn the basics of management planning in competitive and imperfectly competitive markets.

Instructor and Contact Information

Instructors: Mazie Wong (maziewong@arizona.edu), Randy Hill (randyhill@arizona.edu)

Office: By appointment

Teaching Assistants:

- Dheer Avashia (email: dheeravashia@arizona.edu)
- Fernando Requejo (email: fernandorequejoz@arizona.edu)
- Moira Gidseg (email: mgidseg@arizona.edu)

Information about the course is communicated on Brightspace/D2L (please make sure you download the mobile app for notifications).

For questions of a personal nature only (documentation for missed exams, etc.), please email both Mazie and Randy and copy Dheer Avashia, head TA. We will respond ASAP (generally within 24 hours).

Course Format

This class is scheduled to be taught flex in person. The videos should be watched Saturday, Sunday, and Monday.

In-person sessions will not be recorded so that students have the incentive to come. However, we will allow you to miss up to 2 sessions if needed.

For this class you will need daily access to the following hardware: computer or web-enabled device with webcam and microphone; regular access to reliable internet signal; ability to download and run the following software: web browser, Brightspace/D2L.

Assignments and Examinations

You will be graded based upon your performance in the video lecture quizzes, weekly writing assignments, and 3 tests. The writing assignments and tests are always due in class. The video lecture quizzes are due on Mondays. The due dates and links to the assignments are posted on D2L. We will not accept any late work, and there are no opportunities for extra credit in this class. We will, however, automatically drop the 2 lowest writing assignments, and the 3 lowest video lecture quizzes.

Each test is worth 15% of your final grade. The video lecture quizzes are worth 15%. The weekly writing assignments will collectively count for the other 40%.

If you miss a test due to a university-approved reason, you must provide documentation to the head TA that explicitly explains why you could not complete the task. At that point, the average of your other two tests will be used as the score for your missed test. There are no make-up tests in this course. Failure to follow the above steps will result in a zero for the test.

Please see the schedule posted in D2L for important assignments and test dates.

Grading Scale and Policies

Final grades will be determined by the standard grading scale (90-100% is an A, 80-89 is a B, 70-79% is a C, 60-69% is a D, 59 and below is an E). The gradebook on D2L will be continuously updated with your current grade. If your final calculated grade falls between integers (ie., 79.6), then round to the nearest integer using [standard rounding rules](#) (0.5 and up rounds up, 0.49 and down rounds down, you can also [see here](#)).

Requests for incomplete (I) or withdrawal (W) must be made in accordance with University policies, which are available at <http://catalog.arizona.edu/policy/grades-and-grading-system#incomplete> and <http://catalog.arizona.edu/policy/grades-and-grading-system#Withdrawal> respectively.

Grade disputes must be made within seven days of that grade being posted to the D2L gradebook. All grade disputes must be turned in through the Gradescope regrade function.

Course Materials

The recommended textbook for this course is *Economics of Strategy*, 7th edition, by Besanko et. al. Feel free to get a copy of an earlier edition, if you can find it.

We will also be analyzing a number of case studies, which are required to be purchased from Harvard Business Publishing. Please access the material through the link in D2L on the first day of class to make sure that there are no issues with delivery, and so any problems can be addressed quickly.

Expected Learning Outcomes

Upon successful course completion, you will be able to:

- Understand the benefits of diversification, and the decision to vertically or horizontally integrate,

- Analyze competitors and competition in the marketplace,
- Perform data analyses required for strategic business decisions,
- 'Think strategically' while under pressure and with limited information, and
- Communicate business strategy effectively and concisely.

Absence and Class Participation Policy

Participating in the course and attending lectures are vital to the learning process, but are not required. You may miss up to 2 of the in-person meetings. As the homework is done online, there is *no late work/extensions/extra credit available*. We will, however, automatically drop the lowest 3 Panopto quiz grades. If you register late, you will use your drops to make up for missed work.

If you have an excused absence, we will work with you in the following

manner: First, if you miss assignments for an excused reason, you will use your drops. If you have more excused absences than drops (for example, extended illness), we will work with you so that you are not negatively affected. This usually means extending a due date, but we do not grant any more drops. Excused absences must be accompanied by documentation with dates excusing you from class.

If you must miss a test, you must provide similar documentation to us that explicitly explains why you could not complete the task. At that point, the average of your other two tests will be used as the score for your missed test. There are no make-up tests in this course. Failure to follow the above steps will result in a zero for the test.

If you have COVID, please send a photo of your student ID and the positive test to the head ta, as this counts as an excused absence, and is subject to the guidelines just mentioned.

Classroom attendance:

- o If you feel sick, or may have been in contact with someone who is infectious, stay home. Except for seeking medical care, avoid contact with others and do not travel.
- o Notify your instructor(s) if you will be missing a course meeting or an assignment deadline.
- o Non-attendance for any reason does not guarantee an automatic extension of due date or rescheduling of examinations/assessments.
 - Please communicate and coordinate any request directly with your instructor.
 - If you must miss the equivalent of more than one week of class, you should contact the Dean of Students Office DOS-deanofstudents@email.arizona.edu to share documentation about the challenges you are facing.
- o Voluntary, free, and convenient [COVID-19 testing](#) is available for students on Main Campus.
- o COVID-19 vaccine is available for all students at [Campus Health](#).
- o Visit the [UArizona COVID-19](#) page for regular updates.
- Academic advising: If you have questions about your academic progress this semester, please reach out to your academic advisor (<https://advising.arizona.edu/advisors/major>).

Contact the Advising Resource Center (<https://advising.arizona.edu/>) for all general advising questions and referral assistance. Call 520-626-8667 or email to advising@arizona.edu

- Life challenges: If you are experiencing unexpected barriers to your success in your courses, please note the Dean of Students Office is a central support resource for all students and may be helpful. The [Dean of Students Office](#) can be reached at (520) 621-2057 or DOS-deanofstudents@email.arizona.edu.

Physical and mental-health challenges: If you are facing physical or mental health challenges this semester, please note that Campus Health provides quality medical and mental health care. For medical appointments, call (520) 621-9202. For After Hours care, call (520) 570-7898. For the Counseling & Psych Services (CAPS) 24/7 hotline, call (520) 621-3334.

Student Expectations

To foster a positive learning environment, students and instructors have a shared responsibility. We want a safe, welcoming, and inclusive environment where all of us feel comfortable with each other and where we can challenge ourselves to succeed.

We expect that you will spend around 9 hours each week attending lectures, reading case studies, and doing assignments. Please make sure you have sufficient time in your schedule!

You will be required to read the case studies in their entirety before the class period to which they are assigned. In fact, in most cases, you will be quizzed on case study readings.

For Safety and Success

The University is committed to creating and maintaining an environment free of discrimination; see <http://policy.arizona.edu/human-resources/nondiscrimination-and-anti-harassment-policy>

Our classroom is a place where everyone is encouraged to express well-formed opinions and their reasons for those opinions. We also want to create a tolerant and open environment where such opinions can be expressed without resorting to bullying or discrimination of others.

The UA Threatening Behavior by Students Policy prohibits threats of physical harm to any member of the University community, including to oneself. See <http://policy.arizona.edu/education-and-student-affairs/threatening-behavior-students>

If you are experiencing unexpected barriers to your success in your courses, the Dean of Students Office is a central support resource for all students and may be helpful. <http://deanofstudents.arizona.edu/student-assistance/students/student-assistance> or (520) 621-7057

Students are encouraged to share intellectual views and discuss freely the principles and applications of course materials. However, graded work/exercises must be the product of independent effort unless otherwise instructed. Students are expected to adhere to the UA Code of Academic Integrity as described in the UA General Catalog. See <http://deanofstudents.arizona.edu/academic-integrity/students/academic-integrity>.

Accessibility and Accommodations:

- *At the University of Arizona, we strive to make learning experiences as accessible as possible. If you anticipate or experience barriers based on disability or pregnancy, please contact the Disability Resource Center (520-621-3268, <https://drc.arizona.edu>) to establish reasonable accommodations.*

Subject to Change Statement

Information contained in the course syllabus, other than the grade and absence policy, may be subject to change with advance notice, as deemed appropriate by the instructor.

Course Calendar

Course Calendar: ECON 407 Economics of Strategy

Mazie Wong; Randy Hill | Spring 2026| Jan 14 - May 5 2026 ([Registrar Dates](#) + [Holidays](#))

Week	Topic	Monday Homework	Pre-Class Readings*	In class
0 Jan 12	Introduction	none	none	Discussion only
1 Jan 19	What is Strategy?/Ch 2: Horizontal Boundaries of the firm	Ch 2a and 2b	Read "What Is Strategy"/Case Study: AT&T	QUIZ and discussion
2 Jan 26	Ch 3: Vertical Boundaries of the Firm	Ch 2c and 3a	Case Study: Walt Disney/Pixar and video	QUIZ and discussion
3 Feb 2	Ch 3: Vertical Boundaries of the Firm	Ch 3b and 3c	Case Study: A2MC	QUIZ and discussion
4 Feb 9	Ch 5: Competition and Competitors	Ch 5a	Study for test 1	TEST 1
5 Feb 16	Ch 5: Competition and Competitor	Ch 5b and 5c	Case Studies: Delta	QUIZ and discussion
6 Feb 23	Ch 8: Industry Analysis	Ch 8a and 8b	5 Forces Article	(Tues) Doug Housman Ab Initio (Thurs) Juanita Damon

				American Express
7 Mar 2	Ch 9: Strategic Positioning	Ch 8c and 9a	Case Study: AMC	QUIZ and discussion
8 Mar 9	Spring Break; No Class Meeting			
9 Mar 16	Ch 9: Strategic Positioning	Ch 9b and 9c	Case Study: Aldi	QUIZ and discussion
10 Mar 23	Ch 10: Information and Value Creation	Ch 10a	Study for test 2	TEST 2
11 Mar 30	Ch 10: Information and Value Creation	Ch 10b and 10c	WWBWWB	(Tues) Angela Clayton MaidRite (Thurs) Tyler Bertram Equity Methods
12 Apr 6	Ch 11: Sustaining Competitive Advantage	Ch 11a and Ch 11b	Case Study: Ryanair	QUIZ and discussion
13 Apr 13	Ch 11: Sustaining Competitive Advantage	Ch 11c and 12a	Case Study: Blackberry	QUIZ and discussion
14 Apr 20	Ch 12: Performance Measurement and Incentives	12b and 12c	Case Study: Wells Fargo	QUIZ and discussion
15 Apr 27	Final Exam	none	Study for Test 3	TEST 3

* You can access homework readings in Harvard Business Publishing.